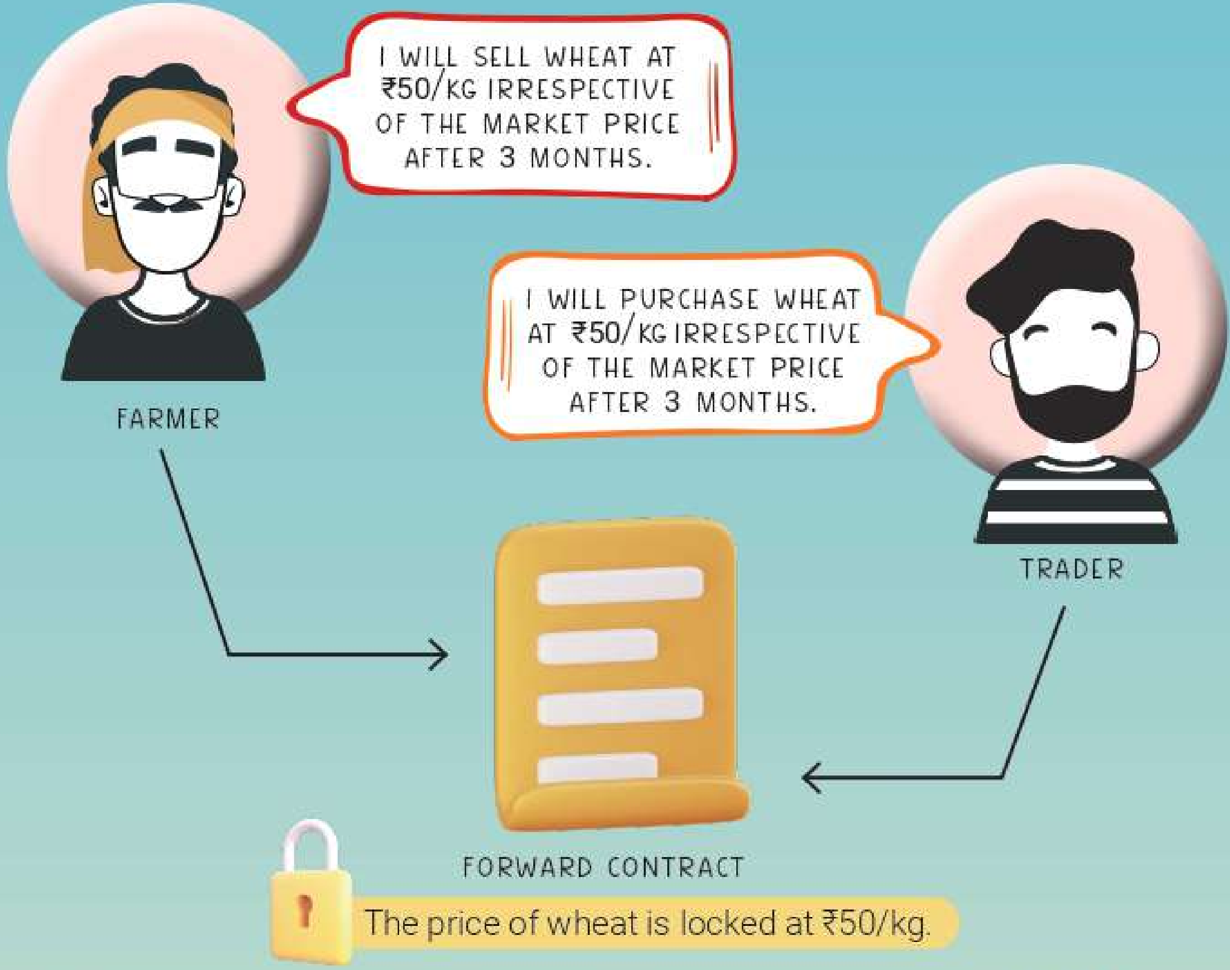
Both of you agree upon solving this fear of price uncertainty by entering a forward contract with each other.



You both lock the price of wheat on a mutually agreed price : ₹50/kg. As per this contract, after 3 months, you agree to sell your entire wheat grown (quantity agreed mutually) to your friend Sam at ₹50 per kg and Sam agrees to purchase your entire wheat at ₹50 per kg.

This is how both parties can reduce risks. Now at the time of transaction, one party will profit and other will incur losses. However, both parties win as the overall risk and uncertainty is reduced.